

BASIC NON-LIFE INSURANCE COURSE

Introduction to Insurance

Session Outline

- I. History
- II. Definition of Terms
- III. Characteristics of an Insurable Risk
- IV. Classifications of Insurance
- V. Insurance and Society
- VI. Insurance: A Legal Contract
 - A. Elements of a Contract
 - B. Defective Contracts
- VII. The Insurance Contract
 - A. Characteristics of an Insurance Contract
 - B. Parts of the insurance Policy
- VI. The General Principles of Insurance
 - A. Utmost Good Faith
 - B. Indemnity
 - C. Insurable Interest
 - D. Contribution
 - E. Subrogation
 - F. Proximate Cause

HISTORY

CODE OF HAMMURABI

Code of Laws under Babylonian King (ca.1700 BC)

If the robber was not caught, the community shall compensate the person robbed for whatever had been lost

If a person was kidnapped, the community shall pay one mina of silver to his family

Forerunners of Modern Insurance started in Italy

BOTTOMRY BOND (*security using the ship/vessel*)

RESPONDENTIA (*security using the cargo*)

Forerunners of Insurance in the Philippines

PALUWAGAN

- Means pooling of money scheme
- The local concept of mutual fund
- Popular in the Phils. especially in the rural region
- Paid either daily, weekly or even monthly to the collector

BAYANIHAN SYSTEM

ABULOY

- Donation, collection or help fund
- Offering, charity or alms share in a collective affair

LLOYD'S OF LONDON

THEN.....

Coffee Shop in London
owned by Edward Lloyd (1689)

MEETING PLACE

- for sailors, merchants, and ship owners
- discuss business deals, including marine insurance.

LLOYD'S OF LONDON

NOW.....

Leading market for specialist insurance

It is not an insurance company

It is an association of individuals who accept insurance

INSURANCE IN THE PHILIPPINES: HISTORY

- MARCH 1829** Lloyd's of London appointed Stracham, Murray & Co., as its local representative.
- 1839** Russel & Sturgis was appointed by the Union Insurance Society of Canton as agents in Manila.
- 1898** Sun Life of Canada was established.
- 1906** Yek Tong Lin Fire and Marine Insurance Co. was established. It was the first domestic non-life company.
- 1910** Insular Life Assurance Co., Ltd was established. It was the first domestic life insurance company

SOME INSURANCE ASSOCIATIONS

PIRA

PHILIPPINE INSURERS AND REINSURERS ASSOCIATION, INC.

PLIA

PHILIPPINE LIFE INSURANCE ASSOCIATION

PIC

PHILIPPINE INSURERS CLUB

PHILASSURERS

PHILIPPINE ASSOCIATION OF SURETY UNDERWRITERS

ASP

ACTUARIAL SOCIETY OF THE PHILIPPINES

SOUND

SOCIETY OF UNDERWRITERS FOR PROPERTY &
CASUALTY INSURANCE, INC.

SOCIAL VALUES OF INSURANCE

- helps in the optimum use of factors of production (land, labor and capital)
- contributes to the economy by decreasing chance of loss through loss prevention activities
- contributes to social and business stability through indemnification
- provides basis for credit system
- reduces worry by reducing uncertainty
- eases financial problems from industrial injury, disability and old age
- serves as a source of capital funds for the economy

IMPORTANT WORDS AND PHRASES

RISK

PERIL

TSI (Total Sum Insured)

PREMIUM

UNDERWRITER

INTERMEDIARY

RISK

DEFINITION

- Uncertainty concerning loss
- Subject matter of insurance.

TYPES

- Speculative Risk – can result to either GAIN or LOSS
- Pure Risk – can produce LOSS only

METHODS OF HANDLING RISK

- ☐ Risk Avoidance
- ☐ Loss Prevention and Reduction
- ☐ Risk Retention
- ☐ Risk Transfer

PERIL

CAUSE OF THE LOSS

- unpredictable event insured against

HAZARDS

Factors that increase the chance of loss from a peril.

3 Classifications

- Physical
- Moral
- Morale

TYPES OF HAZARD

PHYSICAL HAZARDS

- Stock piling of combustible goods
- Exposed electrical wiring
- Properties in Low-lying areas
- Open man hole
- Defective signal/tail lights

TYPES OF HAZARD

MORAL HAZARDS

- factors related to the character of the insured
 - Dishonesty
 - Poor credit standing
 - Numerous past losses

TYPES OF HAZARD

MORALE HAZARD

- factors related to the attitude of the insured
 - Characterized by carelessness, indifference to loss because of insurance coverage
 - Poor housekeeping
 - Lack of loss prevention measures

TOTAL SUM INSURED

- "face amount" of the policy
- limit of the Insurer's liability

PREMIUM

- Consideration paid by the insured from the assumption of loss
- General rule: No Premium = No Policy/Liability
- *Exceptions:*
Credit Terms, Grace Period in case of Life Insurance.

GROSS/NET PREMIUMS WRITTEN

Gross Premiums Written
(GPW)

total premium
production of an insurer
for a specific period of
time

Net Premiums Written
(NPW)

total premium
production less
REINSURANCE

Reinsurance is "an insurance of an insurance". The insurer shares a portion of the total sum insured with another insurer or a professional reinsurer

UNDERWRITER

DUTIES AND RESPONSIBILITIES

- to select, evaluate and accept risks for the insurer
- to determine the terms and conditions applicable
- to determine the amount to be retained by the Insurer

Must be licensed by the
Insurance Commission

TYPES OF INTERMEDIARIES

AGENT

- Represents the insurance company
- **Non-life agent may represent 7 insurance companies**
- **Life agent can represent only 1**
- General Agent represents one insurance company
 - *with underwriting and issuing authority*
 - *assigned a production goal*

BROKER

- Represents the client
- Incorporated and registered with the Securities and Exchange Commission.
- Needs a Soliciting Official

CLASSIFICATION OF INSURANCE

Life Insurance

Term Life

Permanent Life

CLASSIFICATION OF INSURANCE

Non-Life Insurance also called General Insurance or Property and Casualty Insurance

- Fire or Property – insurance on buildings, contents, equipment and goods against fire, natural perils, etc.
- Marine – insurance of hull/vessel, cargo, liability of ship owner to the crew, passenger or property of other third parties. Also includes “inland marine” which covers shipment of goods by trucks, railways or ferry.

CLASSIFICATION OF INSURANCE

Non-Life Insurance

- Casualty or Accident – the broadest classification which includes those lines that do not fall under Fire and Marine, like Motor, Personal Accident, Crime, Liability and Workmen’s Compensation.
- Suretyship

TYPES OF INSURERS

GOVERNMENT

- Social Security System (SSS)
- Government Service Insurance System (GSIS)

PRIVATE

- Proprietary Insurers – organized and operated by stockholders mainly for profits.
- Cooperative Insurers – operated to provide insurance at cost to members.

REINSURER

- National Reinsurance Corporation of the Philippines

Criteria of Insurance Risk: *Essential and Desirable Characteristics*

- Large number of homogeneous exposure units
- Simultaneous or catastrophic losses must be minimal
- Definite and measurable
- Economically feasible cost
- Calculable chance of loss

Criteria of Insurance Risk: *Essential Characteristics*

- A large number of homogenous or similar exposure units
- Small probability of many simultaneous losses.
- ***Law of Large Numbers*** the foundation of insurance. It allows the insurer to determine probability of loss.

CONTRACTS

“A meeting of minds between two persons, whereby one binds himself, with respect to the other, to give something or to render service.” (Art 305 of New Civil Code)

4 ESSENTIAL ELEMENTS

1. **Agreement**– an “offer” by one party and “acceptance” by the other.

2. **Competent Parties** – have the legal capacity to enter into a contract.

- The Insurer is considered competent if it has a valid license to do business and acts within the limits of its articles of incorporation.

The Insured is considered competent if he is not:-

- a **minor**
- a **mentally incompetent**
- a **public enemy**

ESSENTIAL ELEMENTS

3. Legal Purpose -illegal contracts and those that are contrary to public interest are not enforceable.

4. Consideration– the premium

4 Categories of Defective Contract

- RESCISSIBLE CONTRACT
- VOIDABLE CONTRACT
- UNENFORCEABLE CONTRACT
- VOID OR INEXISTENT CONTRACT

Defective Contract

RESCISSIBLE CONTRACT

Those which have caused a particular economic damage either to one of the parties or to a third person and which may be set aside even if valid. It may be set aside in whole or in part, to the extent of the damage caused. (Art. 1381, Civil Code)

Grounds for rescission:

- Concealment (Section 27, New Insurance Code)
- Misrepresentation (Section 45, New Insurance Code)
- Alteration in the use (occupancy) , alteration in the condition of thing insured, increase in the risk, without the insurer's consent. (Section 170, New Insurance Code)

Defective Contract

VOIDABLE CONTRACT

A contract which may appear to be valid and has all the elements to be enforceable, but has a flaw which could cause one party to void the contract:

A contract entered into by a minor could be voidable.

4 Categories of Defective Contract

UNENFORCEABLE CONTRACT

A contract that is entered into by an individual who had no authority to execute said contract

An insurance agent entering into a contract with any other committing policy issuance services . .

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Defective Contract

VOID CONTRACT

- A void contract is a contract whose purpose is contrary to law, morals and public policy
- A contract entered into between an illegal drug dealer and supplier to purchase a certain amount of drugs has no lawful objective and therefore void .

INSURANCE CONTRACT

“A contract of insurance is an agreement whereby one undertakes for a consideration to indemnify another against loss, damage, or liability arising from an unknown or contingent event.”
(Section 2 of New Insurance Code)

Social Definition of Insurance

“Insurance is a system or device in which a group of people who face a common peril contribute to a common fund out of which those who suffer a loss or damage due to such peril are indemnified.”

3 Important Points About Insurance

Transfer of risk from the insured to the insurer.

Insured contributes to a common fund to pay for future losses of members.

Insurer combines/pools a large number of separate exposure units.

Characteristics of an Insurance Contract

- Conditional
- Unilateral
- Good Faith
- Aleatory
- Adhesion
- Personal

CHARACTERISTICS OF AN INSURANCE CONTRACT

- **ALEATORY CONTRACT** - dependent upon chance or luck
- **CONTRACT OF ADHESION** - Insured did not participate in drafting the contract
- **PERSONAL CONTRACT** - both parties view with care the character, conduct and credit standing of each other. If ownership of the thing insured has changed, the insurance does not automatically pass to the new owner
- **UTMOST GOOD FAITH** - the greatest degree of good faith is required in the negotiations, wherein the Insurer is dependent on the information given by the applicant before the contract is finalized

Characteristics of an Insurance Contract

- **UNILATERAL CONTRACT** - insurer is left alone to pay for losses, after the insured has paid the premium. The contract is “**executed**” as to the Insured and “**executory**” on the part of the Insurer.
- **CONDITIONAL** - the Insured has to satisfy certain conditions in the policy before he could collect from the Insurer.

WRITTEN Clauses &
Endorsements

IMPLIED Observance of Good Faith &
Existence of insurable interest

RULES OF CONSTRUCTION

- If terms are clear, interpret based on the plain, ordinary and popular sense.
- If there is ambiguity, apply the following rules of construction.
- To be construed strictly and most strongly against the Insurer, and liberally in favor of the Insured.
- In case of contradiction between the “printed” and the “written” portions of the policy, the **written part prevails because it expresses the true intention of the contract.**

RULES OF CONSTRUCTION

- Phraseology of a policy must be interpreted in the plain, ordinary and popular sense. Technical terms must be given their strict technical meaning.
- Ejusdem general rule. Example: Earthquake, volcanic eruption, typhoon, hurricane, tornado, cyclone, or other convulsion of nature

PARTS OF INSURANCE POLICY

- Preamble
- **Insuring Clause**
- Attestation Clause
- **Policy Schedule**
- Conditions
- **Endorsements**

Name of Insurance Company

SpecimenPolicy No.:
Assured:
Address:

Term:

FIRE INSURANCE POLICY

THIS POLICY OF INSURANCE WITNESSETH, THAT only after payment to the Company in accordance with Policy Condition No. 2 of the total premiums by the insured as stipulated in the schedule forming a part hereof for the period therein mentioned for insuring against Loss or Damage by Fire or Lightning as herein appears, the Property therein described, and contained, or described herein, and not elsewhere, in the sum or several opposite thereto.

THE COMPANY HEREBY AGREES with the insured (subject to the terms and conditions, endorsed or otherwise expressed hereon, which are to be taken as part of this policy), that if the Property therein described, or any part thereof, shall be destroyed or damaged by Fire or Lightning, after payment of the premium by the insured to the Company, during the term of this policy as indicated in the schedule or before 4:00 P.M. of the last day of any subsequent period in respect of which the Insured, or a successor in interest to whom the insurance is by an endorsement hereon declared to be or is otherwise continued, shall pay to the Company, and the Company shall accept the sum required for the renewal of this Policy, the Company will pay or make good all such Loss or Damage to an amount not exceeding during any one period of insurance in respect of the several matters specified, therein the sum set opposite thereto respectively, and not exceeding in the whole the total of the therein mentioned sums insured in Philippine currency.

IN WITNESS WHEREOF, the Company has caused this Policy to be signed by its duly authorized representative.

Name of Insurance Company

Printed Name and Signature

Authorized Signatory

DOCUMENTARY STAMPS CLAUSE
Under the pertinent provisions of the Bureau of Internal Revenue, liability for Documentary Stamp Tax (DST) accrues upon issuance of the insurance policy. Hence, in the event of a valid cancellation of

IMPORTANT NOTICE
The Insurance Commissioner is the Government official in charge of the faithful execution and enforcement of all laws relating to insurance and has supervision over insurance companies. He is ready at all times to

Preamble

- States the purpose of the contract
- Identifies the two parties to the contract
- Declares that the premium must be fully paid

The Insuring Agreement (Operative Clause)

The Insurer will pay under the policy:

- If the premium is paid
- If the loss occurs during the period of insurance
- If the cause of the loss is the peril insured against

Attestation Clause

This confirms that the insurer has authenticated the policy by signature.

IN WITNESS WHEREOF, the Company has caused this Policy to be signed by its duly authorized officer/representative at Makati City, Philippines, this ____ day of _____, 2018

MABILIS INSURANCE CO, INC
T.I.N. 000-123-456-000

Authorized Signatory

IMPORTANT NOTICE

The Insurance Commissioner, with offices in Manila, Cebu, and Davao is the government official in charge of the faithful execution and enforcement of all laws relating to insurance and has supervision over insurance companies. He is ready at all times to render assistance in settling any controversy between an Insurance Company and the Insured relating to insurance matters.

Policy Schedule

- Name of Insured
- Address of Insured
- Term of Insurance
- Amount of Insurance
- Payable premiums
- Location of the Risk
- Description of property insured
- Titles of Warranties
- Mortgagee

Conditions

It defines rights and obligations of insurer and insured, stipulates terms of the agreement, policy coverage, exclusions, duties of the Insured in case of claim.

vs

Endorsements

A separate document which is attached to the main policy. It seeks to modify the base policy's terms, conditions or scope.

COVER NOTE

Are temporary contracts,
pending the issuance of
the policy.

may be issued up to a
period of 60 days.

SAMPLE ONLY

COVER NOTE

NO. 0001

Name of Insured: _____

Location of Risk: _____

Properties Covered: _____

Building _____

Contracts _____

Total Sum Insured _____

Perils Covered: _____

Premium Rate: _____

Effectivity Date: _____

Authorized Representative

6 GENERAL PRINCIPLES OF INSURANCE

- UTMOST GOOD FAITH
- INSURABLE INTEREST
- INDEMNITY
- SUBROGATION
- CONTRIBUTION
- PROXIMATE CAUSE

6 GENERAL PRINCIPLES OF INSURANCE

UTMOST GOOD FAITH

all contracts of insurance must be negotiated with utmost good faith and applies to both insurer and the proposer

"It is an obligation of the insured to disclose material facts i.e., facts that would influence the insurer in deciding whether to accept the risk or in fixing the terms of the contract."

"The duty of good faith implies...that the Insurer will disclose to the proposer the terms upon which the risk is accepted."

BREACH OF UTMOST GOOD FAITH

Concealment

"a neglect to communicate that which a party knows and ought to communicate."

Misrepresentation will exist

"when the facts fail to correspond with its assertions or stipulations."

INFORMATION EXEMPTED FROM COMMUNICATION

“Those which the other knows;

Those which, in the exercise of ordinary care; the other ought to know, and of which the former has no reason to suppose him ignorant;

Those of which the other waives communication;

Those which prove or tend to prove the existence of a risk excluded by a warranty, and which are not otherwise material; and

Those which relate to a risk excepted from the policy and which are not otherwise material.” (Sec 30)

6 GENERAL PRINCIPLES OF INSURANCE

WHAT IS INSURABLE INTEREST?

That kind of relation of the insured with the subject matter of insurance such that the insured will suffer financially should it be lost or damaged and will benefit by its preservation and safety

One's legal right to insure

No insurable Interest = void policy

EXISTENCE OF INSURABLE INTEREST

PROPERTY

Must exist (1) when the insurance takes effect and (2) when the loss occurs

LIFE

Must exist only when the insurance takes effect.

TYPES OF INSURABLE INTEREST

PROPERTY

Every interest in property, whether real or personal, or any relation thereto, or liability in respect thereof, of such a nature that a contemplated peril might directly damnify the insured. (Sec 13, New Insurance Code)

- The following have insurable interest on the property aside from absolute owners:-
- Joint owners
- Mortgagor or mortgagee
- Executor or trustee
- Bailee, carrier or depository
- Lessor or lessee

TYPES OF INSURABLE INTEREST

LIFE

Every person has an insurable interest in the life and health:-

- of himself, or his spouse and of his children
- of any person on whom he depends wholly or in part for education or support, or on whom he has pecuniary interest;
- of any person under a legal obligation to him for payment of money, or respecting property or services, of which death or illness might delay or prevent the performance; and
- of any person upon whose life any estate or interest vested in him depends. (Section 10, New Insurance Code)

MEASUREMENT OF INSURABLE INTEREST PROPERTY

The measure of insurable interest in property is the extent to which the Insured might be damnified by loss or injury thereof. (Sec 13, New Insurance Code)

If there is no valuation in the policy, the measure of indemnity in an insurance against fire is the expense it would be to the insured at the time of the commencement of the fire to replace the thing lost or injured in the condition in which at the time of the injury x x x (Sec 173, New Insurance Code)

6 GENERAL PRINCIPLES OF INSURANCE

INDEMNITY

An insured is compensated for losses sustained and is placed as much as possible in the same pecuniary position as he occupied immediately before the loss.

With the exception of Life and Personal Accident, all insurance contracts are contracts of indemnity. This “means that the Insured, in case of loss...shall be fully indemnified up to the amount of loss, but shall never be more than the amount stated in the policy.

METHODS OF INDEMNIFICATION

Monetary Payment – payment of the cash equivalent of the property lost.

Reinstatement – repair or restoration to the original state as closely as is humanly possible.

Replacement – replacing the lost article with a similar article.

All the above methods are subject to the limitation of the extent of actual loss, and shall not be more than the limit of liability stated in the policy.

DEVIATION FROM THE PRINCIPLE OF INDEMNITY

In Property Insurance

- Valued policies or agreed value policies – for works of art, pieces of jewelry
- Reinstatement or replacement value policies – “new for old” policies, for buildings and machinery

In Life and Personal Accident Insurance, insurers limit their exposure based on the most liberal estimate of the human value.

6 GENERAL PRINCIPLES OF INSURANCE

SUBROGATION

The right of the insurer to stand in the place of the insured and to avail himself of the latter's right and remedies against a negligent third party.

But only to the extent of the amount that it has paid the insured.

A corollary to the principle of indemnity . . . does not permit the Insured to recover the amount of his loss twice and profit

ELEMENTS OF SUBROGATION

SALVAGE ITEM

RIGHT TO RECOVER AGAINST THE THIRD
PARTY, IF APPLICABLE

PRINCIPLE OF SUBROGATION: APPLICATION

General Rule:

Applies “to all insurance contracts that are contracts of indemnity.

Exception:

Life and Personal Accident Insurance and whenever lives and the limbs of human beings are the subject matter of insurance.

6 GENERAL PRINCIPLES OF INSURANCE

CONTRIBUTION

Applies in reinsurance - where there is more than one insurance in force covering the same subject-matter and the same interest, against the same peril.

“Double insurance” means it is the insurance that is doubled and not the sum insured.

6 GENERAL PRINCIPLES OF INSURANCE

CONTRIBUTION

In case of loss, the insurers will pay proportionately to the loss.

Prevents the Insured from recovering more than full amount of loss and thus supports the principle of Indemnity.

If one insurer pays the whole amount or a substantial portion of the loss, he has the right to recover from all other interested up to the extent of their interest.

CONTRIBUTION CONDITION OF INSURANCE CONTRACTS

- The Insured “may claim payment from the insurers in such order as he may select, up to the amount for which the insurers are severally liable under their respective policies.”
- A typical condition is the one in our standard fire policy: “If at a time of any loss...there be any other insurance covering the same loss, damage or liability the company shall not be liable to pay or contribute more than its ratable proportion of any loss....”
- Over payment: If the Insured should receive or collect any sum in excess of the amount of full indemnity from several insurers without their knowledge, the Insured is required to turn over such sum to the Insurers in order that they may pro-rate the same among themselves.

RIGHT OF CONTRIBUTION

- It is the right of the Insurer even if the policy does not carry a Contribution Clause
- In the absence of a Contribution Clause, the Insured has the power to select who among his Insurers will pay the claim. The Insurer can then exercise his right to contribution and go after the other insurers and claim.
- With a Contribution Clause, this power of the Insured to select the insurer who will pay his claim, disappears.

6 GENERAL PRINCIPLES OF INSURANCE

PROXIMATE CAUSE

- Liability = Covered peril is the proximate cause of loss
- The direct cause, the immediate cause and the cause proximate in efficiency or the real cause which is opposite to remote cause
- “the active, efficient cause that sets in motion a train of events which brings about a result, without the intervention of any force started and working actively from a new and independent source.”

6 GENERAL PRINCIPLES OF INSURANCE IN

PROXIMATE CAUSE

- “is the cause proximate in efficiency, and not necessarily the cause nearest in time.”
- “The proximity to the loss is judged not by the time but by effectiveness.”

THE INSURANCE CODE AND THE COMMISSIONER

Republic Act No. 10607 otherwise known as The Insurance Code of 2013 which revised PD 612 replacing RA No. 2427 was promulgated in December 1974.

Sections 305, 414 & 415 authorize the Insurance Commissioner to supervise not only insurance companies but also agents, general agents and brokers.

The Commissioner is also authorized to issue rulings, instructions, order and decisions, as he/she may deem necessary to secure the enforcement of the provisions of the Code, subject to the approval of the Secretary of the Department of Finance.

END OF SESSION
Thank you for listening.